

Week 34 -- Full Deep Research Report

Date: 2026-05-11 (Monday)

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1. Macro & Benchmark Context

Asset	Close	% Chg
SPY	737.62	+0.83%
IWM	284.17	+0.68%
IWO	368.99	+0.66%
QQQ	711.23	+2.34%
XBI	134.71	+0.79%
TLT	86.08	+0.50%
HYG	80.14	+0.35%

Risk-on tape Friday into Monday: QQQ +2.3% leadership, small-cap participation moderate, credit (HYG) bid, long bonds (TLT) slightly higher. Background supports holding momentum names; small-cap risk premium is constructive but not euphoric. With 30-60 day catalyst horizon, focus on Q1-earnings-driven setups whose narratives extend into Q2 guidance updates.

2. Portfolio Snapshot

Ticker	Shares	Cost Basis	Current	Mkt Value	Unreal. P&L	Stop / Limit
ECVT	5	\$69.94	\$14.14	\$70.70	+\$0.76 (+1.1%)	\$13.24 / \$13.14
ORN	5	\$59.40	\$14.90	\$74.50	+\$15.10 (+25.4%)	\$12.35 / \$12.25
WKC	2	\$52.00	\$27.07	\$54.14	+\$2.14 (+4.1%)	\$23.40 / \$23.30
ACCO	29	\$113.68	\$4.04	\$117.16	+\$3.48 (+3.1%)	\$3.53 / \$3.43
ARDX	17	\$122.40	\$6.78	\$115.26	-\$7.14 (-5.8%)	\$6.48 / \$6.38
Cash				\$244.42		
Total		\$417.42		\$676.18	+\$14.34 (+3.4%)	

Cash 36.1% -- above 15% minimum; provides room for 1 new add within the 6-position cap.

3. Per-Position Updates

ECVT (Ecovyst) -- Conviction 4/5 ? from 2/5

Q1 blowout May 5: EPS \$0.11 vs \$0.06 consensus (+\$0.05 beat); revenue \$215M vs \$194.95M (+10% beat); sales +50% YoY; adj. EBITDA +87% to \$39.8M. FY26 guide raised: revenue \$890-970M, adj. EBITDA \$180-195M. Calabrian deal

(\$190M) closes Q2; pro forma leverage ~2x. Stock at \$14.14 vs \$13.24 stop -- adequate cushion. Thesis pivoted from speculative to confirmed.

Action: Ho
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ORN (Orion Group) -- Conviction 4/5

JPMorgan initiated Overweight (+15.9% pop); Roth MKM reaffirmed Buy 4/29; J.E. McAmis acquisition adds marine capability. Federal infrastructure + data-center build-out + shipbuilding tailwind intact. INDOPACOM/PDI MACC task-order timing slipped ~1 year -- modest near-term headwind, balanced by domestic backlog. AGM 5/19 with board refresh -- minor catalyst.

Action: Ho

WKC (World Kinect) -- Conviction 3/5 ? from 4/5

Marine Q4 gross profit -22% YoY on lower bunker pricing/volume; Morgan Stanley cut PT to \$25; analyst mix Hold-biased (1B/2S of 3). Stock at \$27.07 sits above mean target (\$28) but below high-end estimates. Catalysts thin in the 30-60 day window.

Action: Ho

ACCO (ACCO Brands) -- Conviction 4/5

Q1 confirmed: revenue \$343.7M vs \$320.2M, EPS \$0.02 vs -\$0.05; EPOS contributed \$15.2M and is tracking to \$80M / 11-mo; FY guide of \$0.84-0.89 EPS reiterated; tech peripherals targeted to 25% of revenue by year-end. Stock \$4.04, well above \$3.43 stop limit.

Action: Ho

ARDX (Ardelyx) -- Conviction 4/5

Q1 product revenue \$93.4M (+38% YoY); IBSRELA \$70.1M (+58%); FY26 guide reaffirmed (\$410-430M IBSRELA, \$110-120M XPHOZAH); ACCEL Phase 3 CIC enrollment completes EOY 2026, topline 2H27 -- durable pipeline optionality. Stock \$6.78 sits -5.8% from entry; stop \$6.48 is 4.4% below -- tight but appropriate given recent volatility.

Action: Ho

4. Stop-Loss Review

Ticker	Current	Stop	% to Stop	Status
ECVT	\$14.14	\$13.24	-6.4%	Healthy
ORN	\$14.90	\$12.35	-17.1%	Healthy
WKC	\$27.07	\$23.40	-13.6%	Healthy
ACCO	\$4.04	\$3.53	-12.6%	Healthy
ARDX	\$6.78	\$6.48	-4.4%	Tight -- monitor

No position within 3% of stop. ARDX is the closest; will widen stop only after a confirmed close above \$7.40.

5. Screener Candidate Evaluation (Top 5 + Sector Reps)

Rk	Tkr	Sector	Catalyst (30-60d)	Verdict
1	LPRO	Financial	Q1 reported 5/7 -- Rev \$20.5M (-16% YoY), small net loss; certified loans 21k vs	Pass -- top-of-screener score driven by momentum without fundamental confirmatio

2	ARLO	Industrials	Q1 5/7 blowout: rev \$150M (+26%), non-GAAP EPS \$0.28 (+86%), +318k paid accts (v	PRIMARY ADD CANDIDATE -- clear inflection, durable subscription mix, 30-60 day r
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3	TLS	Technology	Q1 this morning (5/11) -- consensus rev \$44.6M, EPS -\$0.03; analyst targets avg	Watchlist -- revisit post-earnings if reaction is constructive.
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4	SIGA	Healthcare	Q1 5/7 minimal deliveries (\$6M rev); \$146M cash, no debt; Q2 guide \$13M intl + S	Pass -- lumpy revenue + no clean 30-60 day catalyst.
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5	TILE	Cons. Cyclical	Q1 5/8 beat: EPS \$0.41 vs \$0.31; rev \$331M (+11.3%); stock +5.5% post-print, adj	Secondary candidate -- strong but \$29.66 ticket > our risk budget for a 6th posi
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Not selected from rank 6+: PUBM, SG, WEN, PAYO, MVST, CLPT, FNKO, CRSR, CERT, QNST -- all show high momentum scores but either lack a confirmed 30-60d catalyst superior to ARLO's, or duplicate sector exposure (Consumer Cyclical heavy in screener distribution). Specifically:

- PUBM/PAYO/CRSR -- Tech; conviction lower than TLS/ARLO.
- SG/WEN/MVST/FNKO -- Consumer Cyclical; sector already covered by ACCO (Cons. Disc. peripherals).
- CLPT/CERT -- Healthcare; ARDX already covers.
- QNST -- Comm Services; thin liquidity for the catalyst.

6. New Position Selection -- ARLO

Thesis: Connected-camera leader transitioning to subscription-led model. Q1 was the cleanest tell: 60% of revenue is now services at 85% gross margin, growing 31% YoY. Paid-account adds came in 40% above the top of guidance. CFO

commentary + raised FY guide (\$550-580M) + new \$50M buyback support a 30-60 day re-rating. Verisure partnership is a recurring funnel.

Bear case: Hardware-side consumer security cameras face Ring/Wyze price competition; FY guide implies decelerating revenue growth in 2H; competitive ad-spend cycle could compress retail margins. A reversal in subscription-add velocity would invalidate the thesis.

Sector cap check: ARLO is "Industrials" per Finviz tag but functionally Tech (Comm Equip / Connected Devices). Either way it's a different sector from all 5 current holdings (Materials/Industrials/Energy/Cons Disc/Healthcare). Sector cap intact.

Sizing:

- Available cash: \$244.42
 - Target deploy: \$130 (leave ~\$114 reserve = 16.8% of equity, above 15% min)
 - Price: \$15.25 -> 8 shares = \$122.00
 - Stop loss: \$13.85 / Stop limit: \$13.75 (-9.2% from entry; below post-earnings consolidation floor ~\$14)
 - Max loss: $8 \times (\$15.25 - \$13.75) = \$12.00$ (1.8% of equity)
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7. Recommended Trades for Monday 2026-05-11

BUY 8 ARLO LIMIT \$15.25 STOP \$13.85 / LIMIT \$13.75 reason: Q1 beat + subscription inflection, 30-60d re-rate

Conditional adjustments (only after confirmation):

- If ARDX closes > \$7.40: raise stop to \$6.60/\$6.50.
 - If ECVT closes > \$14.85: raise stop to \$13.50/\$13.40.
 - TLS post-earnings (after-hours 5/11): if rev > \$46M and price > \$4.80 next session, add to watchlist for Week 35.
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8. Risk & Allocation Check

- Position count: 5 -> 6 after ARLO buy. At cap.
 - Cash post-trade: $\$244.42 - \$122.00 = \$122.42$ (18.1% of equity).
 - Largest position: ACCO at ~17% of equity. No single position > 30%.
 - Sector distribution post-add: Materials (ECVT), Industrials (ORN), Energy/Services (WKC), Cons. Discretionary (ACCO), Healthcare (ARDX), Tech/Comm-Equip (ARLO). 6 sectors, no concentration > 1 position.
 - Stops aggregate downside if all triggered simultaneously: ~\$48 (7.1% of equity). Acceptable.
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9. Thesis Review Summary

(See Week 34 Summary.md for the standalone Section 9 file)

10. Confirmation

- Cash on hand: \$244.42 [OK]
- Max 6 concurrent positions: 6 after ARLO [OK]
- 15% cash reserve maintained: 18.1% post-trade [OK]
- Sector cap (≤ 2 per GICS): [OK] (1 per sector)
- 30-60 day catalyst priority observed: [OK] (ARLO Q1 inflection + FY guide; ECVT Calabrian close; ACCO peripherals mix)

re-rating)

- Risk posture neutral: [OK] (no aggressive sizing; tight stops; reserves preserved)

Sources

- Ecovyst Q1 2026 earnings -- Seeking Alpha
- Orion ORN -- Stocktitan
- World Kinect WKC analyst targets -- MarketBeat
- ACCO Brands Q1 2026 -- Investing.com
- Ardelyx Q1 2026 -- Stocktitan
- Open Lending LPRO Q1 -- Stocktitan
- Arlo Q1 2026 surprise -- FinancialContent
- Telos TLS earnings preview -- GuruFocus
- SIGA Q1 2026 -- IndexBox
- Interface TILE Q1 2026 -- FinancialContent